

***Economics in Action 1***  
**Answers to Exercises — Exam-type questions**

**Chapter 3     Production and division of labour**

**Questions**

*pp. 22–25*

**1.**

A social media company has developed a new photo sharing app. It allows users to download the app free of charge. The app is

- A. a consumer good from the viewpoint of the company because it is used by consumers.
- B. a free good because everyone can download it.
- C. a private good because it is owned by a private company.
- D. a public good because one individual's consumption will not reduce its availability to others.

**2.**

Which of the following statements about a public good is correct?

- A. It must be provided by the government.
- B. The opportunity cost of producing one extra unit of a public good is zero.
- C. It is non-rival but excludable in consumption.
- D. Different individuals can enjoy the same public good at the same time without affecting others.

**3.**

A free lunch provided by schools is a/an \_\_\_\_\_ because \_\_\_\_\_.

- A. economic good ..... it satisfies human wants
- B. free good ..... it is free of charge
- C. private good ..... concurrent consumption is impossible
- D. public good ..... it is provided by government funding

4.

William owns a café and he employs his friend, Leo, as a barista. William focuses on sourcing (採購) and roasting (烘焙) coffee beans, while Leo focuses on making coffee and serving customers.

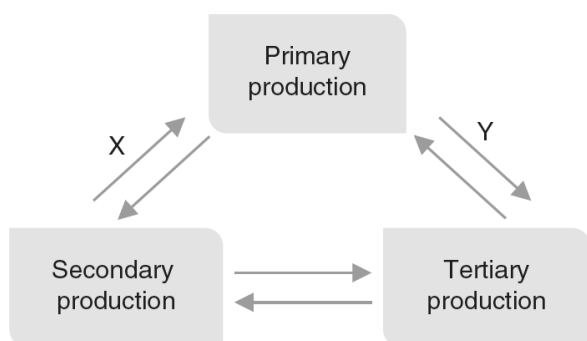
Which of the following statements about the above case are correct?

- (1) William engages in tertiary production.
- (2) William's café adopts simple division of labour.
- (3) Leo is a secondary producer.
- (4) The coffee machine operated by Leo is a capital good.

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

5.

Refer to the following diagram:

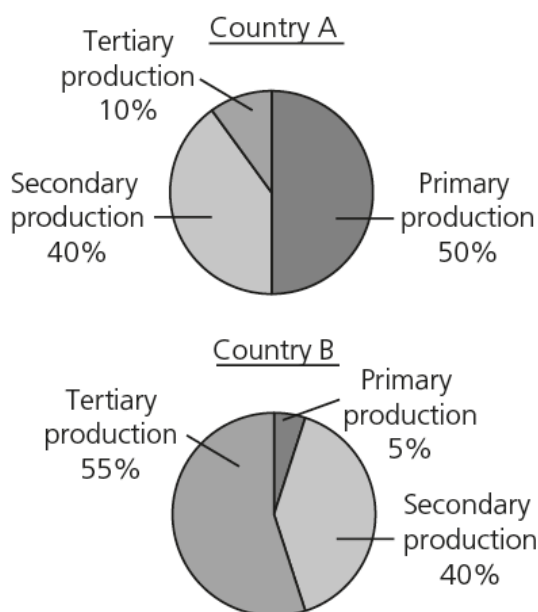


X and Y stand for \_\_\_\_\_, respectively.

- A. raw materials and services
- B. producer goods and raw materials
- C. producer goods and services
- D. raw materials and producer goods

6.

The following diagrams show the percentage share of different types of production in total employment in Countries A and B.



From the above data, we can conclude that:

- A. the number of secondary producers in Country A is the same as that in Country B.
- B. the relative importance of primary production in Country A is decreasing.
- C. the majority of workers in Country A are engaged in primary production.
- D. the total output value of tertiary production in Country A is smaller than Country B.

7.

Refer to the following table about the contribution to the total production value by economic activity:

|                      | 2020 | 2025 |
|----------------------|------|------|
| Primary production   | 5%   | 10%  |
| Secondary production | 20%  | 10%  |
| Tertiary production  | 75%  | 80%  |

According to the above data, we can conclude that from 2020 to 2025,

- A. more workers are engaged in primary production.
- B. the number of workers engaged in tertiary production may decrease.
- C. workers engaged in secondary production become more productive.
- D. the contribution of tertiary production to total employment increases.

**8.**

The production of smartphones often operates through global supply chains, where different stages of production take place in different countries. For example, a smartphone may be designed in one country, manufactured in another and assembled in yet another, with components sourced from various countries.

This is an example of \_\_\_\_\_ division of labour because \_\_\_\_\_.

- A. simple ..... each country has its labour for production
- B. simple ..... each country engages in a production stage
- C. regional ..... each country has its own specialty of production
- D. regional ..... multiple countries cooperate under the same company

**9.**

A textbook publisher has different departments, such as editorial, accounting, marketing and design. Such an arrangement will lead to

- A. lower interdependence between workers.
- B. higher output per working hour.
- C. higher profit for the publisher.
- D. higher job satisfaction for employees.

**10.**

In a restaurant, Amy, John and Ben have different responsibilities: Amy cooks the food and John serves the customers, while Ben washes the dishes. Which of the following are the advantages of this arrangement?

- (1) Tools can be more fully utilised.
  - (2) A wider choice of goods can be provided.
  - (3) Workers have a lower risk of unemployment.
  - (4) Time is saved from moving around tasks.
- A. (1) and (3) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (2) and (4) only

**11.**

Sunny Farm supplies organic vegetables to Hong Kong's restaurants every day. On weekends, it organises family tours, allowing parents and their children to experience farming. Explain the types of production in which Sunny Farm engages. (4 marks)

**12.**

A kindergarten broadcasts classical music in every classroom to create a relaxing environment for children during the lunch break.

(a) Explain whether the music broadcast is a capital good or a consumer good. (2 marks)

(b) Explain whether the music broadcast is a private good or a public good. (3 marks)

**13.**

Refer to the following information.

In order to increase public housing supply and improve the living standards of people who currently live in inadequate housing, the Hong Kong government implements standardised and simplified designs to construct Light Public Housing (簡約公屋) units on vacant land.

(a) Based on the above information, in which type of production does the Hong Kong government engage? Explain. (2 marks)

(b) Explain whether Light Public Housing units are public goods. (3 marks)

**14.**

A Chinese restaurant has chefs, waiters, cashiers and managers. What economic principle is illustrated in the above case? State THREE reasons why this principle can raise labour productivity. (4 marks)

**15.**

Jason is an economics graduate whose classmates are now engaged in different occupations, such as economic analysts, insurance brokers, and accountants. Jason chose to become a tutor and run a tutoring centre by himself.

(a) Which type of division of labour is observed in the above case? (1 mark)

(b) In which type of production does Jason engage? Explain. (2 marks)

(c) After three months, Jason decides to hire Susan as a teaching assistant to teach Mathematics and Anna to teach English.

Suggest THREE reasons why the above arrangement can increase labour productivity. (6 marks)

- (d) Unfortunately, Anna quits her job after specialising in teaching English for two years, even though she finds the salary and welfare more than satisfactory.

Explain ONE possible reason why Anna quit her job.

(2 marks)

## Answers

1. D

2. D

3. C

4. B

Option (1): Since the coffee shop provides catering services. People who work in the coffee shop are considered to be engaged in tertiary production.

5. B

6. C

7. B

The table provides the contribution of different types of production to the total production value. We cannot draw conclusions about the change in the number of workers or the contribution to total employment.

Option B is correct because the number of workers engaged in tertiary production may increase, decrease or remain unchanged, regardless of its contribution to the total production value.

8. C

9. B

Option B: It means an increase in labour productivity.

10. B

11.

Primary production because it directly extracts resources from nature, i.e., farming. (2 marks)

Tertiary production because it provides tour services. (2 marks)

12.

(a) Capital good, because it is used for providing services, i.e., education services in the kindergarten. (2 marks)

(b) Public good, because (1 mark)

the music is non-rival in consumption, i.e., it can be concurrently consumed by all children (and other listeners) without affecting others. (2 marks)

13.

(a) Secondary production, because it turns raw materials into Light Public Housing units. (2 marks)

(b) No, because (1 mark)

Light Public Housing units are rival in consumption. When someone consumes a unit, the availability to others will decrease. (2 marks)

**14.**

Division of labour / Specialisation (1 mark)

Reasons:

- Choosing the most suitable persons for the job
- Practice makes perfect
- Saving time from moving around tasks
- Saving time in training
- Stimulus to mechanisation

(Any THREE of the above. 1 mark  $\times$  3 = 3 marks)

**15.**

(a) Simple division of labour (1 mark)

(b) Tertiary production, because he provides education services. (2 marks)

(c) Reasons:

- Choosing the most suitable persons for the job: The most qualified tutors can be hired for different subjects.
- Practice makes perfect: Both tutors become familiar with the teaching materials after repeatedly teaching.
- Saving time in training: Susan only needs to be trained to teach Mathematics, while Anna only need to be trained to teach English.

(Or other reasonable answers. 2 marks  $\times$  3 = 6 marks)

(d) Reason:

- Repeatedly teaching the same subject each year is boring and monotonous.
- The skills of teaching English may not be applicable to other jobs. She may face a higher risk of unemployment.

(Any ONE of the above or other reasonable answers. 2 marks)